From the American Federation of Labor
Information and Publicity Service

FOR RELEASE IN WEDNESDAY MORNING PAPERS, APRIL 20, 1949

The Legislative Conference of the American Federation of Labor, in session today, adopted a resolution denouncing the Wood Bill (HR 4200) after considering an analysis of the measure prepared by Wolf, Glenn & Thatcher, Counsel for the A.F. of L.

There is little to choose between the Wood Bill and the Taft-Hartley Act, this analysis emphasized. It continued:

"In several important respects the Wood Bill is worse. While it does throw several gaps in labor's direction, in reality the bill enlarges and strengthens the most objectionable feature of the Taft-Hartley Act, namely, the use of injunctions against alleged union unfair labor practices and in connection with so-called 'national emergency strikes.'

"The new Bill permits the General Counsel for the NLRB to file suit for injunction in the federal courts merely upon the filing of charges alleging the union has committed any unfair labor practice, and without further investigation, and the courts are empowered to issue injunctions in such cases in their complete discretion and without any standards to guide them or safeguards to protect against indiscriminate or arbitrary orders. Under the Taft-Hartley Act, the General Counsel can seek an injunction merely upon filing charges only where violations of Section 8 (b) (4), relating to secondary boycotts, are charged, and then only after a full investigation has shown the existence of facts making it reasonably certain that the charges are true. Furthermore, in respect to the national emergency injunctions, the new bill permits the Presidential Board to apply for an injunction immediately upon its creation and without the requirement that a Board of Inquiry be assembled to investigate the dispute and make findings prior to the issuance of the injunction as is required under the Taft-Hartley Act.

"The few safeguards on the issuance of injunctions in cases involving jurisdictional strikes that are contained in the Taft-Hartley Act are eliminated under the new Wood Bill, and under that Bill either the Board or the court has complete discretion to issue orders respecting jurisdictional strikes without even affording the parties to the dispute an opportunity to settle the jurisdictional dispute for themselves, as was permitted under Taft-Hartley.

"The following is a provision-by-provision comparison of the new Wood Bill with the Taft-Hartley Act, showing what, if any, changes are made in respect to each of the various provisions in the Taft-Hartley Act. The analysis follows the same form as that followed when the Thomas Bill was compared with the Taft-Hartley Act in a previous analysis made by this office. The following provisions of the Taft-Hartley Act are retained, strengthened or modified by the Wood Bill as indicated:

" 1. Disenfranchisement of economic strikers - modified so as to permit an economic striker to vote in a representation election but only if he has not been permanently replaced for a period of 90 days prior to the election. In other words, if the economic striker has been replaced for 90 days, he cannot vote.

"2. Blanket prohibitions on restraint or coercion by unions - retained and strengthened by permitting injunctions merely upon the filing of charges and without investigation or issuance of complaint as required under Taft-Hartley.

"3. Broad prohibitions on secondary boycotting - retained completely, with the very slight exception that union employes engaged in a lawful primary strike may induce other union employes

assist them in the following limited situation: where these other employes are employed to work on products ordinarily made at the struck plant, as in a case where such products have been jobbed or contracted out, but even then only if these other employes are members of the same local union as the employes on strike and have a contract with their employer permitting them not to work on struck goods. As can readily be seen, cases where the employer has agreed that his employes need not work on struck goods, and where the employes engaged in the primary dispute are members of the same local union as employes making or working on products for the struck plant, will be very few and far between, so in practical effect the so-called broadening provision is meaningless.

"4. Prohibition against jurisdictional disputes - retained and strengthened against unions by eliminating opportunity for parties to settle their own dispute and by permitting court injunction merely upon filing of charges and without issuing of complaint or other investigation.

"5. Ban on closed shop and restriction on union shop -- retained in most respects, strengthened in others, and modified in some. Under the Wood Bill, all closed-shop agreements requiring membership in a union earlier than 30 days after employment are outlawed, and this even includes agreements which might have been valid under the Taft-Hartley Act, such as those entered into prior to the passage of that Act and made effective for a period of years. While the Wood Bill does eliminate the useless union-shop election pre-requisite, it permits employes in a bargaining unit to rescind the authority of a union to enter into a union-shop agreement by majority vote. The Bill further permits the employer to discharge an employe under a union-shop agreement for two reasons in addition to failure to pay dues and initiation fees, namely, where the employe was expelled from the union for engaging in a wild-cat strike or for being a Communist or for being affiliated with a communist or similar organization. Further, the employer is permitted to notify a union of opportunities for employment, but since the prohibitions on the making and use of union-shop agreements are very specific, it is impossible to see any material benefit whatsoever which could be derived from this provision. In all other respects the prohibitions on closed-shop agreements and the restrictions on union-shop agreements are identical with those under Taft-Hartley, including the provision making the hodgepodge of state anti-closed-shop laws paramount to the federal law.

"6. Exclusion of 'supervisors' from all protection against employer discrimination and refusal to bargain - retained.

"7. Proviso permitting employer to use 'free' speech to abuse unions if no threat of reprisal - retained.

"8. Non-communist affidavit and other filing requirements-retained as to unions and extended to include employers.

"9. Restrictions on excessive initiation fees - retained.

"10. Restrictions on 'featherbedding' - retained.

"11. Definition of good-faith bargaining - retained.

"12. Employer petitions and decertification provisions - retained.

"13. Opening of federal courts to damage suits for breaches of contracts and for violation of secondary boycott provisions -retained, with slight limitation discussed under secondary boycott paragraph (no.3) above.

"14. Restrictions on welfare funds and check-off - retained and strengthened by making check-off authorization automatically non-effective at the expiration of one year from the date of its execution, thus eliminating automatic renewal and making it necessary to procure new authorizations each year.

"15. Craft unit proviso - retained.

"16. Provision for 60-day notice of termination or modification of existing agreement - retained, except that an employe striking in violation of the 60-day clause does not lose his status as an employe.

"17. Separate conciliation service - retained.

"18. Provision for enjoining strikes in emergency situations, 80-day 'cooling-off' period and 'last offer' election - strengthened by permitting injunction at any time a dispute is threatened without investigation or fact-finding by Presidential Board. However, useless last offer election is eliminated. Under the Wood Bill, the safeguards inherent in an investigation by a Board appointed by the President, which makes an investigation and issues findings of fact prior to the issuance of an injunction, are entirely eliminated. The Board now functions only after the injunction is obtained. Thus, the Wood Bill makes it impossible for the President even to attempt to settle the threatened national emergency by the appointment of a Board of Inquiry without first obtaining an injunction. Under the injunction the court can order the parties to the dispute to use their best efforts to settle it, under threat of contempt of court if they fail to do so. The Wood Bill, therefore, would arouse all the antagonisms that are automatically induced by the issuance of any injunction in a later dispute before the President is empowered to even try to bring about conciliation or settlement of the issues.

"19. Restrictions on political contributions by labor organizations - retained.

"20. Separation of powers as between Board and General Counsel - retained, and powers of General Counsel greatly expanded by giving him absolute discretion to seek injunction in any case where charges may have been filed.

"Conclusion

"From the foregoing section-by-section comparison of the Wood Bill with the Taft-Hartley Act, it can be readily seen that, if anything, the Wood Bill is more vicious and more oppressive than the Taft-Hartley Act and should be as strenuously opposed. Wherever the restrictions of the Taft-Hartley Act are loosened, it is for the most part in unimportant respects, and, on the other hand, the most objectionable of the Taft-Hartley Act provisions - those dealing with injunctions against labor organizations - are considerably strengthened. If the foregoing analysis is compared with the analysis of the Thomas-Lesinski Bill, it can be seen that the Wood Bill could not, under any circumstances, be considered in any way an adequate substitute."

####

THE ROLE OF GOVERNMENT IN INDUSTRIAL RELATIONS

An Address Delivered by William M. Leiserson
at the
Industrial Relations Institute, University of California
March 20, 1947

I

The great obstacle to orderly development of public policy with respect to industrial relations is the tendency of each generation to consider its labor problems unique. Labor Relations have been controlled by law and government in this country since the beginneing of our history. Nevertheless recurring periods of labor turmoil and wide-spread strikes continue to succeed each other over the years, and each generation repeats the cry for something that will "really solve" the labor problem.

Our concern being the relations of free workers and free employers, I propose to begin the discussion with a text from the prophet of free, private enterprise, Adam Smith. I read from Book I, Chapter VIII of "The Wealth of Nations:"

> "We rarely hear, . . . of the combinations of masters, though frequently of those of workmen. But whoever imagines, upon this account, that masters rarely combine, is as ignorant of the world as of the subject. Masters are always and everywhere in a sort of tacit, but constant and uniform combination, not to raise the wages of labour . . . To violate this combination is everywhere a most unpopular action, and a sort of reproach to a master among his neighbours and equals. . .. Masters too sometimes enter into particular combinations to sink the wages of labour . . ..
>
> "Such combinations, however, are frequently resisted by a contrary defensive combination of the workmen; who sometimes too, without any provocation of this kind, combine of their own accord to raise the price of their labour. Their usual pretences are, sometimes the high price of provisions; sometimes the great profit which their masters make by their work. But whether their combinations be offensive or defensive, they are always abundantly heard of. In order to bring the point to a speedy decision, they have always recourse to the loudest clamour, and sometimes to the most shocking violence and outrage. They are desperate, and act . . . (to) . . . frighten their masters into an immediate compliance with their demands.
>
> "The masters upon these occasions are just as clamorous upon the other side and never cease to call aloud for the assistance of the civil magistrate, and the rigorous execution of those laws which have been enacted with so much severity against combinations of . . . labourers and journeymen . . .."

Apparently people were fighting the same devils when the good book was published in 1776 that we are fighting today. Though writing in England Smith described as well the labor relations that prevailed in the United States and the role the government has played in them down to recent times. Today many employers think the situation has been reversed. The law, they say, especially the National Labor Relations Act, bears with greatest severity on them rather than on the laborers; and the magistrates' hands have been tied by the Norris-LaGuardia Act. But they still do not cease to call aloud for the assistance of the government, only now their clamorous cries are directed to the Congress rather than to the magistrat-